BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a/ National Grid

Case Cases 19-G-0309 & 19-G-0310

January 2020

Prepared Supplemental Testimony
of:

Staff Earnings Adjustment
Mechanisms Panel

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Q. Members of the Staff Earnings Adjustment Mechanisms Panel (Panel), please state your names.

A. Our names are Robert Cully, Kathryn Mammen, Laurie Kokkinides, and Davide Maioriello.

Q. Has the Panel previously sponsored testimony in these proceedings?

A. Yes. We offered pre-filed direct testimony, submitted August 30, 2019.

Q. What is the purpose of the Panel’s supplemental testimony?

A. The purpose of our testimony is to update the exhibits provided as part of our pre-filed direct testimony, specifically Exhibit___(SEAMP-3), based on the Commission’s recent Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025, issued on January 16, 2020 in Case 18-M-0084 (January 2020 Energy Efficiency Order).

Q. Is the Panel sponsoring Exhibits as part of this supplemental testimony?

A. Yes, we are sponsoring one exhibit with our testimony.

Q. Please describe the exhibit.

A. Exhibit___(SEAMP-7) provides an update to Exhibit___(SEAMP-3), which we provided with our pre-filed direct testimony.

UPDATE TO EXHIBIT___(SEAMP-3)

Q. Please describe the changes the Panel recommends to update Exhibit___(SEAMP-3).

A. As shown in Exhibit___(SEAMP-7), we updated Exhibit___(SEAMP-3) to reflect the Companies' budgets and Million British Thermal Units (MMBTU) targets approved by the Commission in the January 2020 Energy Efficiency Order.

Q. Why is it necessary to update Exhibit___(SEAMP-3)?

A. Exhibit___(SEAMP-3) was submitted as part of our pre-filed direct testimony to illustrate how our recommended Share the Savings Energy Efficiency EAM metric would work, and what potential financial award would be available to the Companies based on their performance under that metric. The budgets and targets shown in Exhibit___(SEAMP-3) are now obsolete, based on the Commission's January 2020 Energy Efficiency Order. Accordingly, it is reasonable to provide

an update to Exhibit___(SEAMP-3) to reflect those new budgets and targets, and to provide an estimate of the potential financial awards available under the Share the Savings metric.

Q. Are the budgets and MMBTU targets approved in the January 2020 Energy Efficiency Order described elsewhere in Department of Public Service Staff's supplemental testimony?

A. Yes, the budgets and MMBTU targets required under the January 2020 Energy Efficiency Order are fully described in the supplemental testimony of the Staff Efficiency and Sustainability Panel. At a very high level, the Commission increased the Companies' Energy Efficiency portfolio budgets and targets for the period from 2021 through 2025, which results in an increase to the Rate Year budgets and targets shown in Exhibit___(SEAMP-7) compared to the assumed budgets and targets provided in Exhibit___(SEAMP-3).

Q. Are there any noteworthy changes shown in Exhibit___(SEAMP-7) compared to Exhibit___(SEAMP-3)?

A. Yes. As shown in Exhibit___(SEAMP-7), since

both the energy efficiency budgets and targets have increased as a result of the January 2020 Energy Efficiency Order, the total financial award available to KEDNY and KEDLI has also increased, further strengthening the Companies' incentive to maximize the effectiveness of their energy efficiency program offerings.

Q. Does this conclude your testimony at this time?

A. Yes.